



TAIWAN FIRST TO MARKET

18 MAY 2026

Top Stories

[Greater China](#) (Feng Zhu)

- China: Trump-Xi summit concluded with no major breakthroughs
- Exports rebounded more than expected with broad-based gains
- CPI and PPI surprises may indicate further reflation
- New loan creation contracted in April
- Next week: China FAI, IP, retail sales, housing, LPR; Hong Kong labor, CPI; Taiwan: export orders, labor

[TSMC](#) (Gokul Hariharan) (2330 TT, OW)

CoWoS and Advanced Backend Updates

Raising CoWoS estimates for 2027/28; continue to expect a strong SoIC ramp: We raise our CoWoS estimates and now expect TSMC to build 115K/175K/220K wfpw CoWoS capacity by end 2026/27/28, with upside coming from a faster ramp of in-house capacity in 2027-28 and leveraging OSATs and VIS for interposer manufacturing. We now expect TSMC's CoWoS capacity to reach 1.1/1.9mm and 2.4mm annual CoWoS wafer output in 2026/27 and 2028, respectively. With a more conservative view on CoPoS technology adoption and extension of CoWoS to larger reticle size packages (up to 14x by 2028), we now anticipate a faster CoWoS capacity ramp into 2028, aligned with TSMC's recent guidance of 80+% CAGR in CoWoS capacity over 2022-27. We continue to expect a strong ramp in SoIC reaching 40/65k wfpw by end 2027/28, as 3DSoIC packaging adoption picks up meaningfully from 2H27 for several ASICs, NVDA and CPO projects.

[Silergy Corp](#) (William Yang) (6415 TT, OW)

Successful price hike plus stronger server and auto outlook beat expectations; OW

Silergy's share price was down 7% today (15 May), mainly given its reported 1Q26 results with a GM miss. We believe management's positive tone on the company's future growth drivers and GM improvement factors during today's earnings call should mitigate investors' concerns on its margin and earnings outlook. First, the company confirmed its successful price hike negotiation with customers to pass through the increasing supply chain costs, which should be beneficial to its future GM. We believe the recent price hike is a tone-up vs. the previous earnings call two months ago, suggesting an actual demand-driven PMIC upcycle. Also, the datacenter business growth and contribution (already reaching 15% in 1Q26 vs. single-digit in 2025) is better than expectations, driven by solid server motherboard and optical module demand, which could extend into the coming quarters. Coupled with the on-track automotive product ramp in 2H26 and solid consumer product share gain, the company is confident of delivering 20-30% YoY revenue growth in 2026, while GM should gradually improve with better mix and price hike, offsetting the inventory write-off impact.

[Equity Thematic Strategy](#) (Dubravko Lakos-Bujas/Bhupinder Singh/Kamal Tamboli)

Security and Resiliency Investing

For decades, global capital allocation prioritized economic efficiency. Firms optimized cross-border supply chains, sourcing inputs from the lowest-cost producers and concentrating manufacturing to improve margins. However, a recent series of supply chain crises (e.g. Covid, Russia/Ukraine, Liberation Day tariffs/export controls, Iran tensions) expose the vulnerability of this guiding principle especially given pressure from accelerating economic competition and geopolitical fragmentation (see [Report](#)). **In our view, a structural reorganization is underway in US public and private investment from efficiency-first towards building greater national and economic security, resiliency and reliability.** This shift towards the Security and Resiliency theme is likely to be one of the more durable thematic dispersion catalysts across equities since the passage of the IRA/CHIPS/IIJA Acts in 2021-22 (see [Report](#)). **Given the level of catch-up required across key segments such as Defense, Critical Minerals, Security/Cyber and Advanced Manufacturing, investor demand for Security and Resiliency theme will likely ramp-up aggressively.** Based on investor discussions, we are not only observing rising interest in this theme but are seeing preliminary steps towards launching new Security and Resiliency Investment Funds globally.

Price Target and Estimate Changes

[Silergy Corp](#) (*William Yang*) (6415 TT, OW, PT NT\$520.00)

Successful price hike plus stronger server and auto outlook beat expectations; OW

Results and Company Views

[TSMC](#) (*Gokul Hariharan*) (2330 TT, OW, PT NT\$2500.0)

CoWoS and Advanced Backend Updates

Strategy

[EM Money Trail](#) (*Rajiv Batra/Emy Shayo Cherman/Anindita Gandhi*)

Non-ETF outflows exacerbate even as ETFs return

Economics

[Greater China](#) (*Feng Zhu*)

Key Rating, Price Target, EPS & DPS Changes

Price Target Changes

Company	Rating	Price Target	
		New	Old
Increases			
Silergy Corp	OW	NT\$520.00	NT\$440.00

EPS Estimate Changes

Company	Current FY	Next FY
Decreases		
Silergy Corp	-4.8%	-5.5%

DPS Estimate Changes

Company	Current FY	Next FY
Decreases		
Silergy Corp	-0.9%	-5.7%

Source: J.P. Morgan estimates.

Note: EPS Changes > +/- 1%. DPS Changes > +/- 1%. Numbers and companies above may differ from the corresponding numbers or companies in the individual notes inside the FTM

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